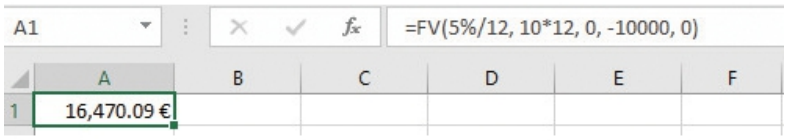
(instalments). The "*pmt*" argument stands for the payment made for each period. For instance, if payments are made at the end of each period, the "*pmt*" value should be negative. On the other hand, if payments are made at the beginning of each period, the "*type*" argument must be set to 1.
The "*pv*" argument is optional and stands for the present value of the investment or loan. If this argument is omitted, the function assumes a present value of 0. Lastly, "*type*" argument specifies the payment due date. If omitted, the function assumes that payments are due at the end of each period (0). However, if payments are to be made at the beginning of each period, the argument should be set to 1.
For instance, if you aim to calculate the future value of a 10,000 € investment with an annual interest rate of 5% over 10 years, you can use the following FV function:

=FV(5%/12; 10*12; 0; -10000; 0)

The "5%/12" argument converts the annual interest rate to a monthly rate, and the "10*12" argument calculates the total number of annual periods over the investment's duration. The "0" argument indicates that no payments are made each period, while the "-10000" argument stands for the initial investment of 10,000. The last argument, "0", indicates that payments are due at the end of each period.
The outcome of this formula is 16,770.09 €, representing the future value of the 10,000 euro investment after 10 years with an annual interest rate of 5%.



- **PV Function**
  Excel's *PV* (Present Value) function is a financial tool designed to compute the present value of an investment or a series of regular payments (instalments), considering a fixed interest rate and a specified number of periods. It proves useful in evaluating the current worth of a lump-sum investment, a stream of regular payments, or a hybrid of both.